

Beyond the Streetlight

by Byrne, Corrado, Kennickell

REMARKs by Christopher D. Carroll

Formerly of the Division of Research and Statistics: 1990-95

Johns Hopkins University (1995-2023)

Federal Reserve RS100 Conference

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<https://econ-ark.org/materials/beyond-the-streetlight>

Thank you to all Federal Reserve Staff

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- Past, Present, and Future

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- For doing a vitally important job as well as humanly possible

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- It's data all the way!

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- Capacity Utilization

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I would add a Tertiary:

- books $\in \{\text{Green, Teal, Beige}\}$
- staff memos ...

What Good Is Information? (Part 1)

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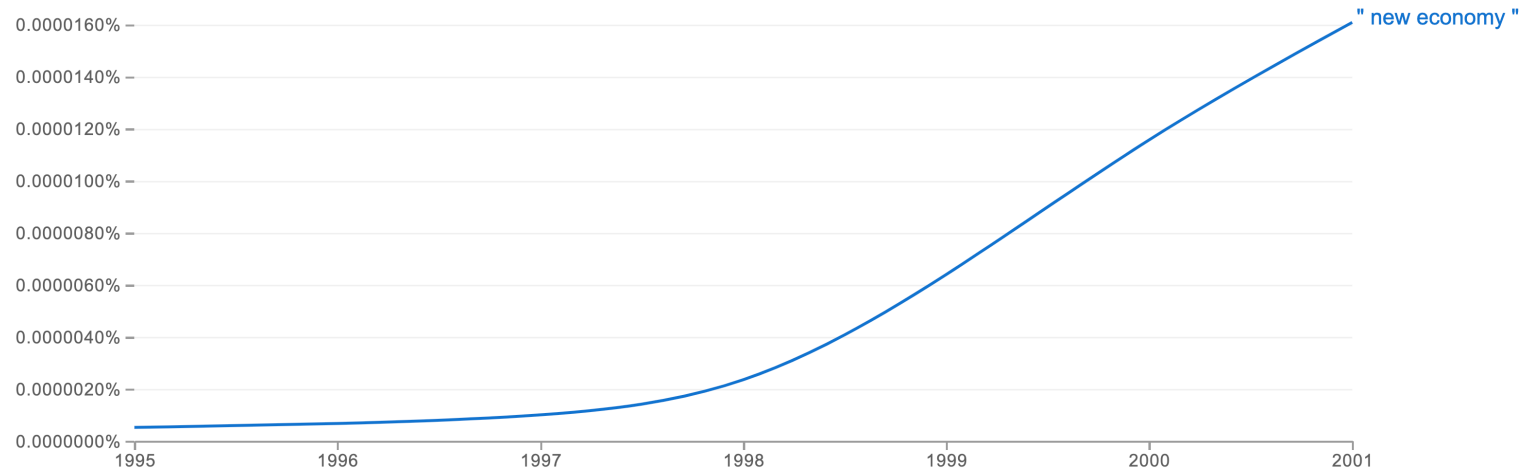
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- 'opportunistic' disinflation

Google nGram of 'new economy'



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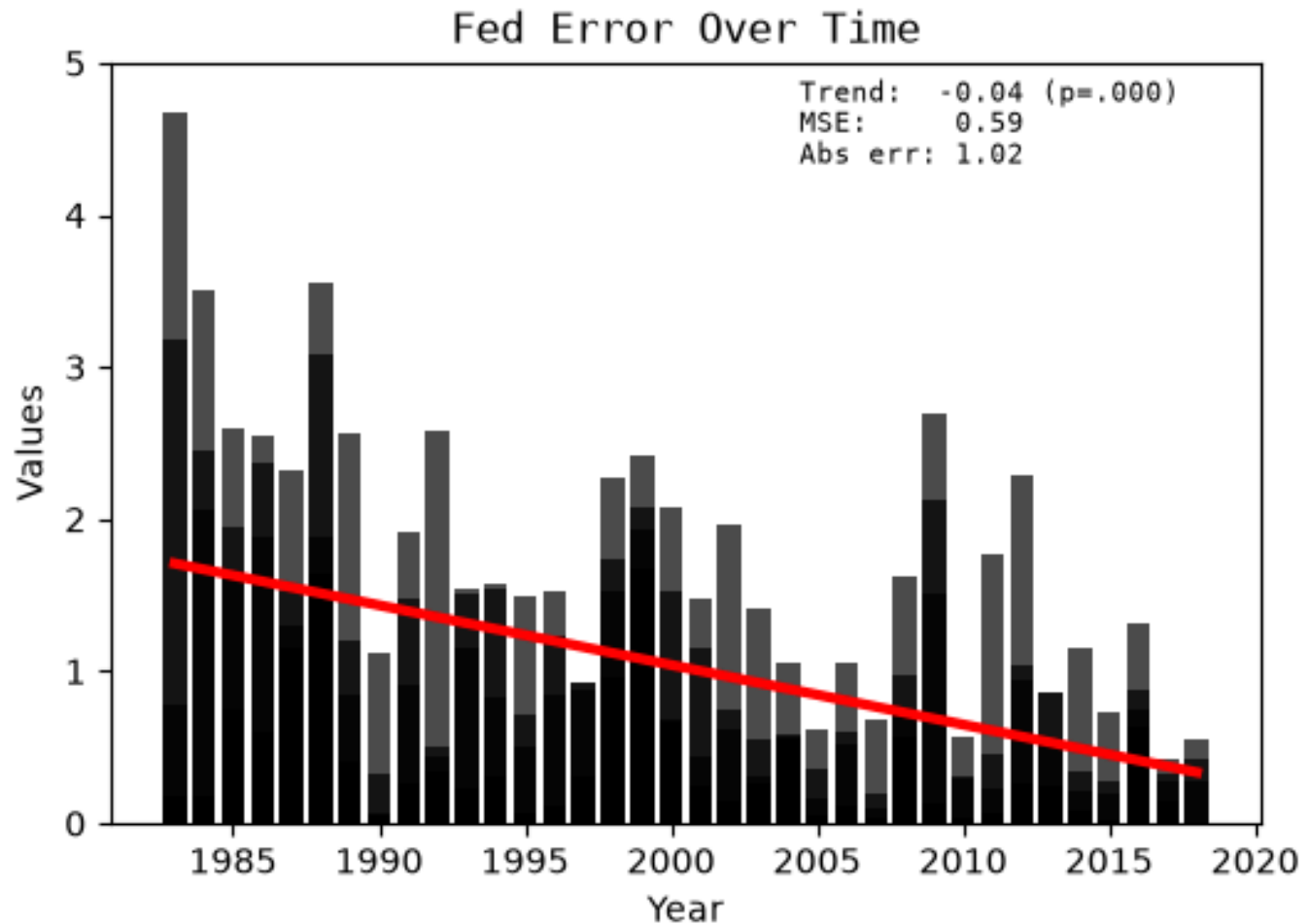
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- Or has the Fed gotten better over time?
 - That's one point of better measurement
- Maybe everybody has gotten better over time?
 - Measurement improvements make everybody better off

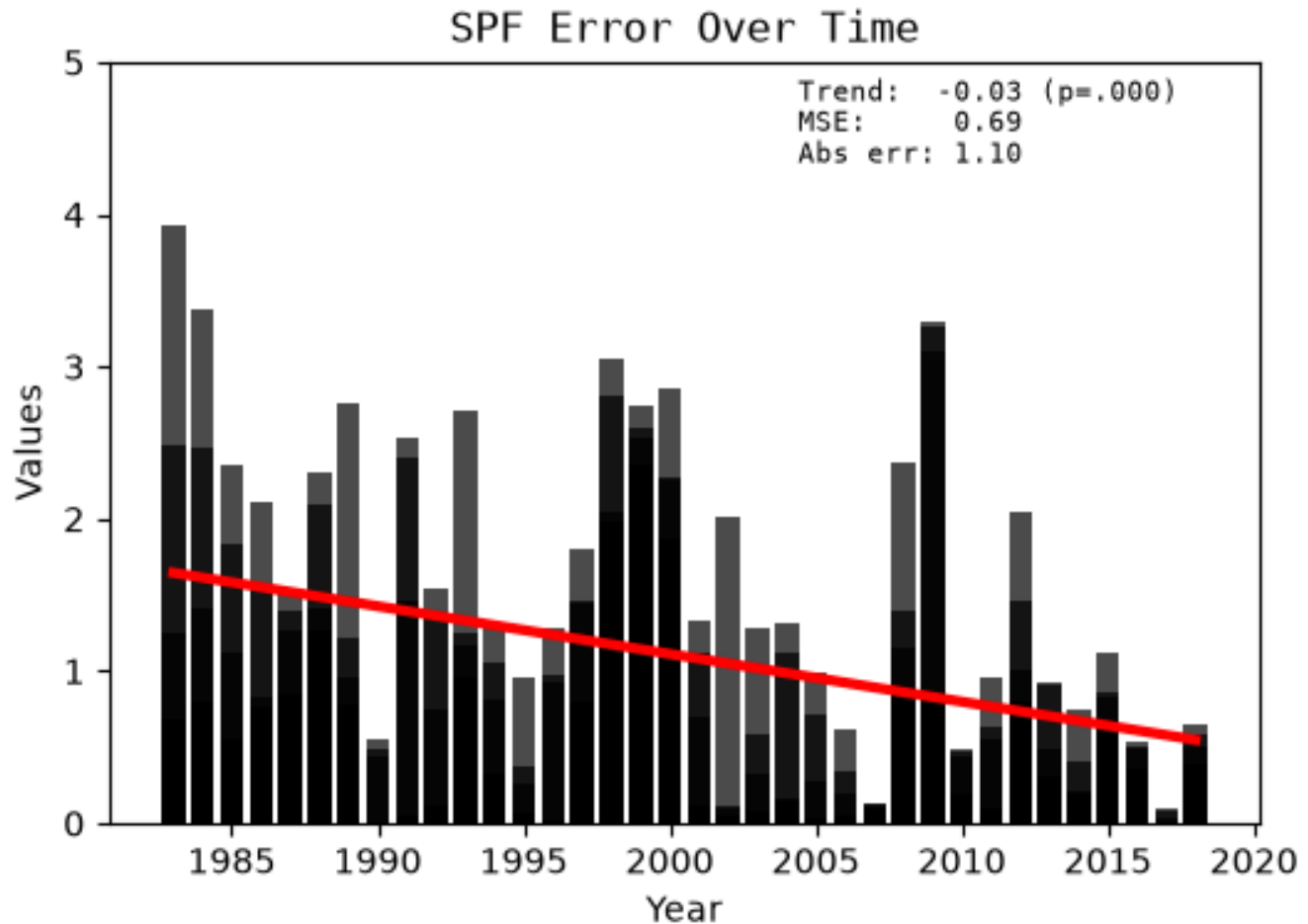
Tertiary Data from Philly Fed and FRED

Forecasts from books $\in \{\text{Green, Teal}\}$



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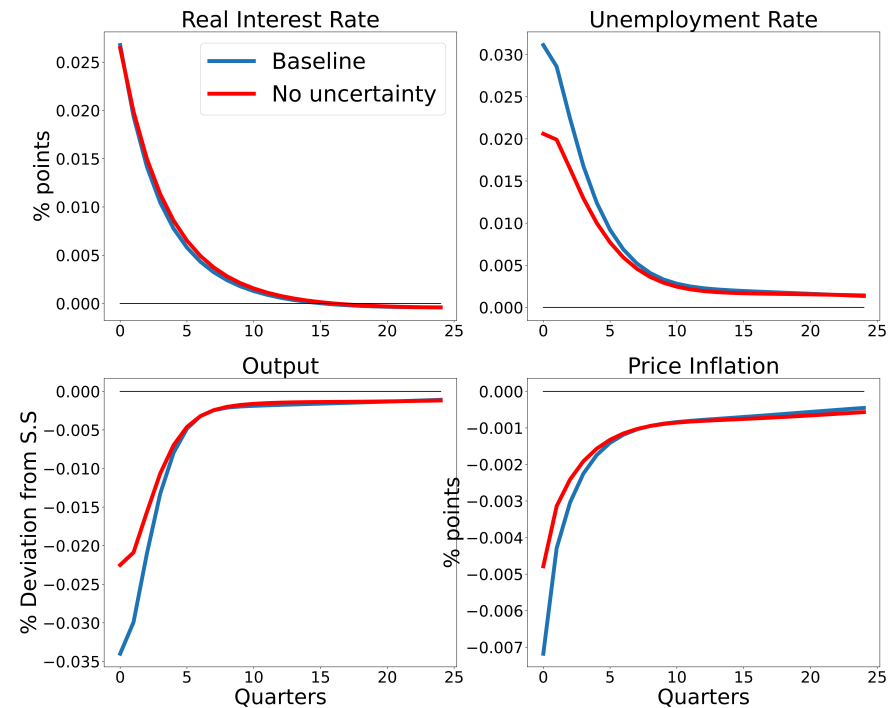
Forecasts from SPF



How Much of Business Cycle is Driven by Uncertainty?

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2.5 bp increase in FF in Will Du's 'HANK and SAM' model.



What Good Is Information? (Part 2)

- Utility cost of business cycles directly proportional to c
 - $\Delta V \approx u'(c) \times \Delta c$

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- Better measurement $\Rightarrow$ less uncertainty $\Rightarrow$ higher welfare

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- API for Tertiary data of all kinds
 - [ALFRED](#) is missing a lot

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- LLM/NLP for relevant corpuses and search terms
- Better *micro* data
 - linked to macro through RDC

